Practical – Using PESTLE

For this practical class, you will explore and apply the PESTLE strategic analysis tool to examine the key external factors:

- ☐ **P**olitical
- ☐ **E**conomic
- ☐ **S**ociological
- ☐ **T**echnological
- ☐ **L**egal
- ☐ **E**nvironmental

that influence your concept/idea for coursework. PESTLE can be used in a range of different scenarios and can assist consultant and managers consider strategic decisions. In this practical, as a group, you need to understand the PESTLE technique and then work through it, individually completing the different sections of it allocated you.

Any unallocated element of the PESTLE Analysis template should be completed by the group collectively, including any element by a student not engaging in your group.

PESTLE

This description of the different components of PESTLE are cited from CIPD[1]. You can explore other definitions and explanations to help understand the technique for your concept/idea and how best to use it.

- ☐ POLITICAL
  - When looking at Political factors you will need to consider your country's government policies and political stability. Other factors will include tax implications, industry regulations and global trade agreements and restrictions.
- ☐ ECONOMIC
  - Economic factors will include exchange rates, economic growth or decline, globalisation, inflation, interest rates and the cost of living, labour costs and consumer spending.
- ☐ SOCIAL
  - Social factors look at trends such as lifestyle factors, cultural norms and expectations such as career attitudes and work-life balance. It also concerns itself with consumer tastes and buying habits as well as population demographics.
- ☐ TECHNOLOGY
  - Technology has grown exponentially. How is your concept/idea responding to technological innovation in your products and services? Other technological advancements will impact on data storage, disruptive technologies such as smartphones, social networking, automation robotics and the increasing shift towards AI artificial intelligence.

[1] https://www.cipd.org/en/knowledge/factsheets/pestle-analysis-factsheet/#what-is-a-pestle-analysis

- LEGAL
  - Shifts in the Legal landscape are constantly changing especially here in the UK. Employment labour law and employment tribunal decisions impact upon working practices continuously. It is also important to keep up to date with all changes in legislation and of course Health and safety regulations.
- ENVIRONMENTAL
  - Does your concept/idea have a direct impact on the environment? Political sanctions now govern carbon emissions and a move towards sustainable resources such as wind turbines and recycling. This area also covers corporate social responsibility and ethical sourcing of goods and services which in turn has a direct impact on procurement and your businesses supply chain management.

Once you are clear on the main overarching factors included in a PESTLE analysis the next challenge is to relate this in real terms into the innovative concept/idea that your group is developing as part of your coursework.

Your task in this practical

Figure 1 below shows the different areas described above, along with helpful prompts to get you thinking along the right lines for each PESTLE area. Using a template[2], as a group, write several bullet points of text as appropriate to your concept/idea, for each of the areas.

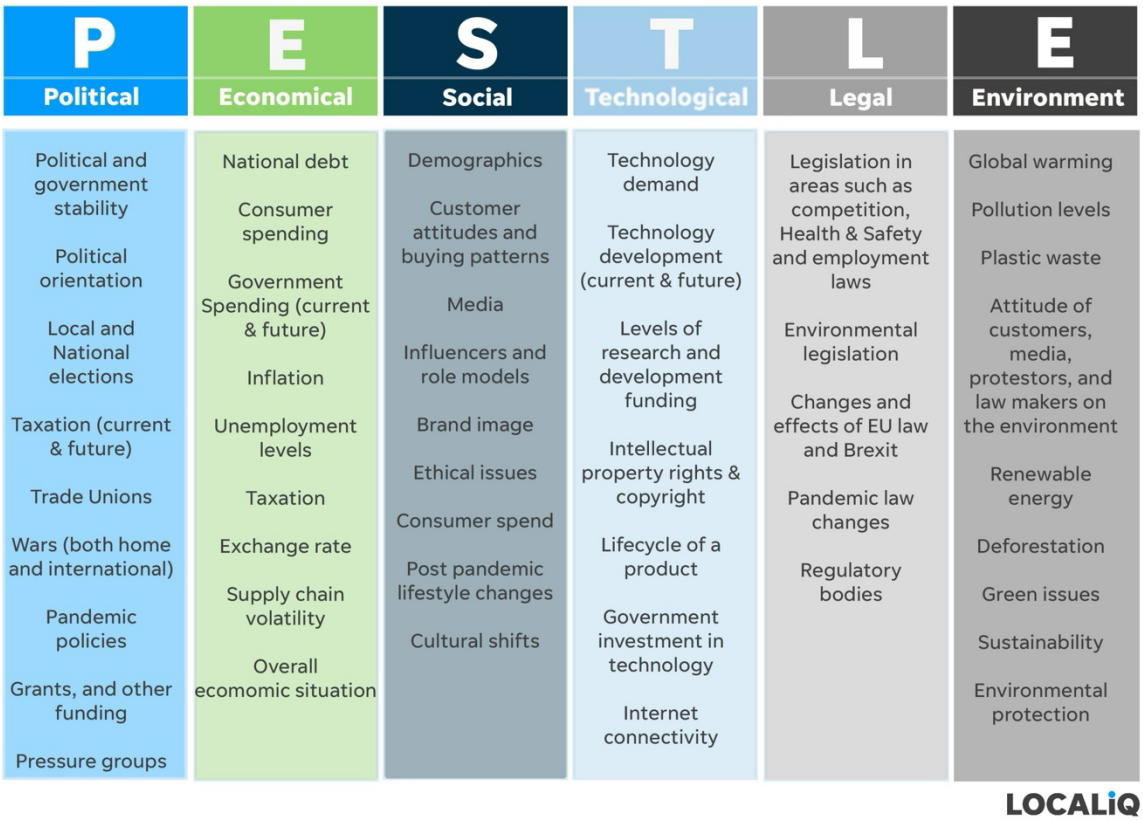


Figure 1 – PESTLE detail[3]

[2] https://miro.com/templates/pestle-analysis/
[3] https://localiq.co.uk/blog/a-complete-guide-to-using-swot-pestle-for-marketing

Using PESTLE

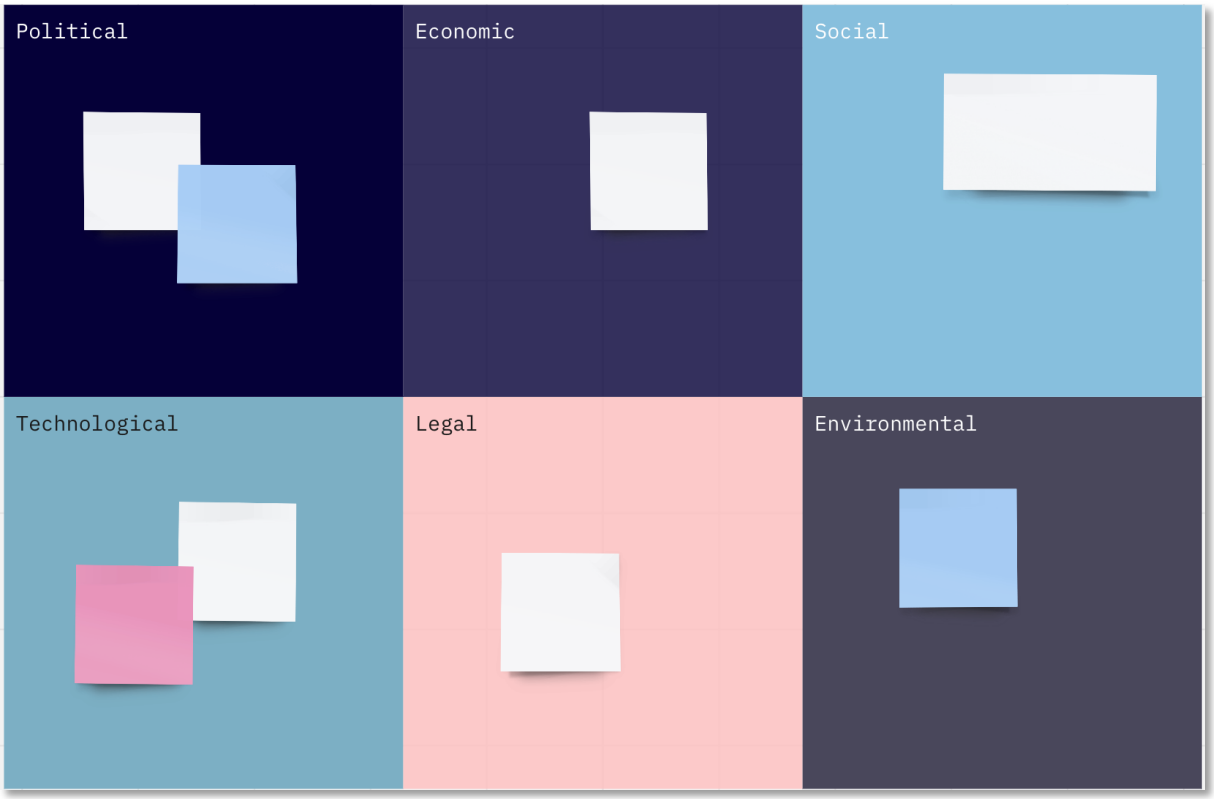
For your coursework group concept, you need to work your way through the individually allocated different areas of PESTLE. The PESTLE analysis is focused on looking at how outside influences can affect your concept/idea, so make sure you thoroughly research each topic. Here's a possible path[4]:

1. Political
    a. Political factors are extremely important to consider, and they are the least predictable elements. Political factors can be assessed from a national and local level. Politics can change rapidly and when governments change (at local and national elections) there could be radical changes for businesses.
2. Economical
    a. Economies are fragile and by understanding the economic factors that can affect a business, you can begin to mitigate risks. Economic changes can be felt locally, on a countrywide basis, or even globally. Economic factors are those which have the potential to affect goods, services, and finances. Things to consider here are interest rates, recessions, inflation, exchange rates as well as supply and demand.
3. Social
    a. To better plan for marketing campaigns, one thing that needs consideration is the social changes. Social changes can happen quickly (e.g., in the fashion industry) and a business needs to ensure it is prepared. Social changes can include factors such as cultural norms and expectations (and this can vary greatly if you are marketing globally), population growth and demographic age.
4. Technological
    a. Technology has changed the way we live our lives. There are constant emerging technologies that disrupt the norm in business. Businesses need to consider embracing these changes as they may influence the success of the brand.
    b. Online ordering changed the way people shop and this has brought about a demand for businesses to have an online presence, (Covid pushed more smaller businesses to build their online presence via websites and social media pages to stay afloat).
5. Legal
    a. It is a given fact that all businesses need to follow the laws of the countries they operate in. This can differ in many markets, especially if you are marketing overseas. Businesses that operate overseas will have many different laws to consider and this could be a barrier to those markets.
6. Environmental
    a. Environmental and ecological protection has only come to the forefront of business planning in the last 15-20 years. When you consider the scarcity of available raw materials, there is a strong demand for renewable and recyclable materials.

[4] Source: https://localiq.co.uk/blog/a-complete-guide-to-using-swot-pestle-for-marketing

Templates

Use the Miro template[5] to start to complete your PESTLE analysis for your group coursework.



For hints, use the YouTube video[6] to understand more about PESTLE. There is also an online template[7].

[5] https://miro.com/templates/pestle-analysis/
[6] https://www.youtube.com/watch?v=GFVKKTwkANY
[7] https://miro.com/templates/pestle-analysis/